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NVIDIA Corp Earnings Call [View on the Bloomberg Terminal](#)

05/22/24

Guidance

- Total Q2 revenue is expected to be \$28 billion $\pm 2\%$, with sequential growth expected across all market platforms
- Q2 gross margins guidance: - GAAP: 74.8% ± 50 bps - Non-GAAP: 75.5% ± 50 bps Full year gross margins expected in mid-70s percent range
- Q2 operating expenses guidance: - GAAP: ~\$4 billion - Non-GAAP: ~\$2.8 billion Full year OpEx expected to grow in low 40% range
- Other income/expenses expected to be approximately \$300 million income (excluding investment gains/losses), with tax rate of 17% $\pm 1\%$

Margin Story

- Q1 GAAP gross margins expanded to 78.4% and non-GAAP gross margins to 78.9%, benefiting from lower inventory charges and favorable component costs
- For Q2, GAAP and non-GAAP gross margins are expected to be 74.8% and 75.5% respectively (± 50 basis points)
- For the full year, gross margins are expected to be in the mid-70s percent range

AI Strategy

- NVIDIA sees strong demand for AI training and inference, with inference now representing about 40% of Data Center revenue over the past four quarters
- The company is helping build "AI factories" - specialized data centers for producing AI, with over 100 customers building facilities ranging from hundreds to 100,000 GPUs
- There is significant focus on "Sovereign AI" initiatives, where nations are building domestic AI computing capacity, which NVIDIA expects to generate billions in revenue
- The company sees AI as driving a fundamental shift in computing, moving from information retrieval to generating contextually relevant answers
- NVIDIA's H200 GPU offers significant performance improvements for AI inference, with potential for strong revenue generation for API providers

Cloud Strategy

- Cloud providers were major customers, representing mid-40s percentage of Data Center revenue
- Cloud providers can earn significant returns on NVIDIA infrastructure investment, with \$5 in GPU hosting revenue potential for every \$1 spent over 4 years
- Major AI companies are building on NVIDIA AI in the cloud
- NVIDIA's software stack and cloud integration makes it easy for customers to use their GPU instances
- Several countries are developing sovereign AI clouds through partnerships with telecom providers and utilities

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- • Sovereign AI revenue is expected to grow significantly

Orders

- • Demand significantly exceeds supply for H200 and Blackwell products, with this expected to continue into next year
- • In Q1, NVIDIA worked with over 100 customers building large AI infrastructure orders ranging from hundreds to 100,000 GPUs
- • The company is seeing increasing demand for Hopper products through the current quarter
- • Customers are putting significant pressure on NVIDIA to deliver and set up systems quickly
- • For networking products, demand was well ahead of what they could ship in Q1, with expectations to return to sequential growth in Q2

Inventory

- • Gaming revenue showed healthy end-demand and channel inventory across the product range
- • Gross margins expanded sequentially due to lower inventory charges

Competition

- • NVIDIA's business in China has declined significantly and become more competitive due to export control restrictions
- • When asked about cloud customers' internal AI programs as potential competition, Jensen emphasized NVIDIA's differentiation through: 1) their complete accelerated computing architecture that handles all aspects of the pipeline, 2) their presence across all clouds making them developer-friendly, and 3) their full AI factory systems approach rather than just chips
- • Jensen emphasized that being first to market with groundbreaking AI advances is crucial for competitive advantage

Market Share

- • NVIDIA's business in China has declined significantly after export control restrictions and faces increased competition there
- • Cloud providers represented the "mid-40s as a percentage" of Data Center revenue
- • For supercomputing applications, NVIDIA sees an 80% adoption rate of Grace paired with Hopper

Capital Allocation

- • In Q1, NVIDIA returned \$7.8B to shareholders through share repurchases and dividends
- • The company announced a 10-for-1 stock split effective June 10th and is increasing its dividend by 150%

Labor

- • There were increased compensation-related costs in Q1
- • Full year operating expenses are expected to grow in the low 40% range

Macro Environment

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- There was a reference to "computing cost and computing energy inflation" in the context of technical computing infrastructure, rather than broader economic inflation

Supply Chain

- NVIDIA is experiencing supply constraints for H200 and Blackwell products, with demand expected to exceed supply into next year
- The company has been preparing their ecosystem for Blackwell's requirements, including liquid cooling supply chain
- There were some networking supply timing issues in Q1, but sequential growth is expected to resume in Q2

Pricing

- For cloud providers, there is a potential 5x revenue return over 4 years for every \$1 spent on NVIDIA AI infrastructure
- For H200 servers specifically, API providers could potentially generate \$7 in revenue over 4 years for every \$1 spent

Product Development

- NVIDIA started sampling H200 in Q1 and is currently in production with shipments starting in Q2
- The Blackwell platform is in full production, with shipments starting in Q2, ramping in Q3, and customer data centers expected to be operational in Q4
- NVIDIA launched Spectrum-X Ethernet Networking solution in Q1, which is now ramping in volume
- The company announced NVIDIA Inference Microservices (NIM), a new software product for secure and performance-optimized containers
- Blackwell will be available in over 100 OEM and ODM systems at launch, more than double Hopper's launch systems
- NVIDIA is committed to annual product cycles, with another chip planned after Blackwell

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